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China Economics | Asia Pacific

Revising Up China's Export Growth: Stronger Price Premium

July data reaffirm resilient AI-related spending and a broadening Asian capex cycle. We raise our 2026 USD export/import growth forecasts to 20%/26% on strong prices and robust volume, modestly supporting nominal GDP. Summer domestic demand will shape the case for fresh stimulus in autumn.

We raise our 2026-27 trade forecasts amid durable AI-related demand and broadening Asian capex cycle... We now expect USD export/import growth of 20%/26% in 2026 (up from 10%/15% previously). The upgrades reflect three forces: sustained AI-related investment supporting electronics, a *broadener* Asian capex cycle spilling into machinery and industrial materials, and resilience in prices. China's continued supply-chain upgrading and deep integration into electronics should also support market share gains in non-energy trade. In 2027, we see export/import growth normalizing to 11%/9% (up from 9%/2% previously).

... which was reaffirmed by July trade data. Trade headlines (export: 23.9% vs consensus of 23.0%; imports: 27.5% vs consensus of 29.5%) were in line with market expectations, sustaining the strength YTD. More importantly, the underlying mix points to ongoing structural tailwinds for China's exports. Besides still-hot AI-related exports, The Asian capex cycle appears to be broadening, reflected in firmer capital- and intermediate-goods exports and stronger intra-Asia trade relative to DMs.

Largely stable net export contribution, more favorable spillovers: From an accounting perspective, we estimate that net exports should provide a modest incremental real GDP boost, with the contribution edging up to 0.9pp in 2H26 from 0.8pp in 1H26 and averaging 0.8pp in 2027. However, we think this only paints part of the picture. Trade volume growth of ~10%, alongside elevated price inflation, should generate somewhat better spillovers to industrial production, investment, and industrial profits than in 2024-25.

Considering a robust external backdrop, policy in wait-and-see mode in the summer: As the July Politburo meeting mandated, Beijing will first accelerate deployment of the roughly Rmb2trn potential fiscal impulse available for 2H26, alleviating augmented fiscal tightening in 1H26. We therefore expect sequential real GDP growth to pick up modestly in 2H26, helping YoY growth to improve to 4.6% from 4.3% in 2Q26. That said, the summer remains an important test of policy execution: If data continue to disappoint materially through August and September, the likelihood of additional easing in September-October would rise.

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Revising Up Our 2026-27 Trade Growth Forecasts

1H26 in Retrospect

Investment-led exports, with prices driving the nominal acceleration

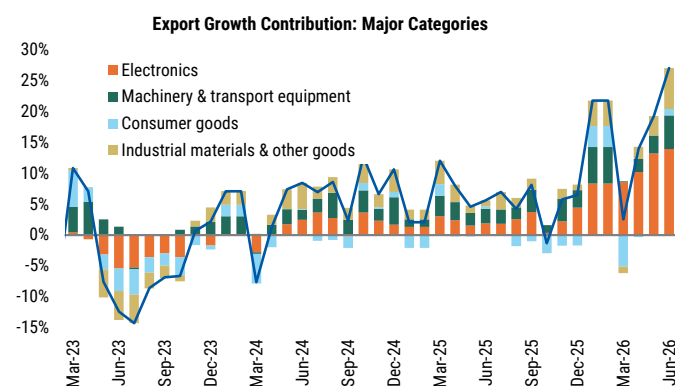
China's nominal export growth accelerated sharply in 1H26, averaging 17.7%Y, vs 5.4% in 2025, **with the composition of growth pointing to investment rather than consumption as the key driver.**

- **Electronics** was by far the largest contributor, adding 10.4pp to headline export growth in 1H26, up from 2.2pp in 2025, accounting for roughly two-thirds of the 12.3pp acceleration in nominal export growth.
- **Non-electronics machinery & transport equipment and industrial materials** contributed a further 3.7pp and 3.2pp, respectively.
- Together, these investment- and production-related categories accounted for the vast majority of the acceleration in exports.
- By contrast, **consumer goods** remained notably softer, contributing just 0.4pp to growth after subtracting 0.9pp in 2025.

The rise in headline growth was mainly driven by prices. Export volume recorded 10.3%Y growth in 1H26, slightly up from 9.3% in 2025. This means that most of the dollar-denominated acceleration is due to price increases, led by AI-related hardware and complemented by a modest RMB appreciation against the dollar.

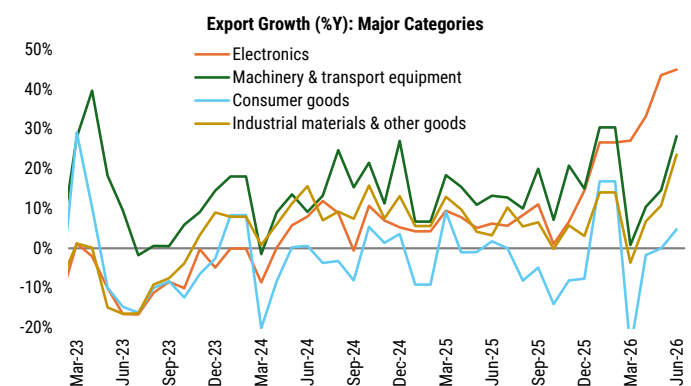
In addition, we see clear broadening beyond AI: While 4Q25's recovery was still heavily electronics-led, the mix began to broaden in 1Q26 and broadened more clearly through 2Q26: Headline growth accelerated from 14.0% in April to 27.0% in June, as machinery and industrial materials contributions climbed from a combined 4.1pp to 12.0pp, alongside still-strong electronics.

Exhibit 1: Nominal export growth decomposition



Source: CEIC, Morgan Stanley Research

Exhibit 2: Growth of export categories



Source: CEIC, Morgan Stanley Research

Electronics and commodities drive the import surge

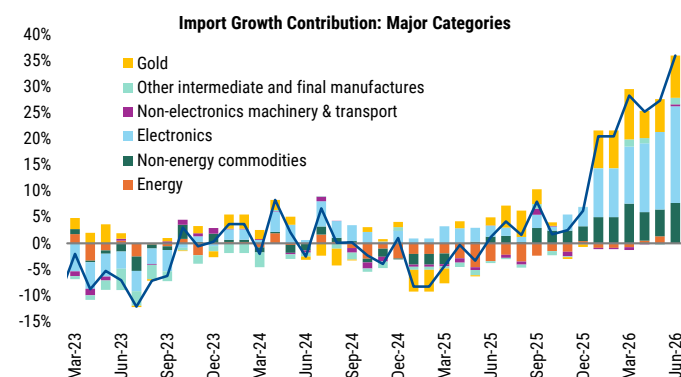
Nominal import growth also accelerated sharply in 1H26, averaging 26.3%Y versus 0.2% in 2025, with the pickup concentrated in electronics, non-energy commodities, and gold.

Broadly, the composition suggests two fundamental drivers: (1) stronger global investment demand has supported commodity prices (particularly non-ferrous metals); and (2) China's deep integration into the global electronics supply chain.

- **Electronics** was the largest contributor, adding 12.7pp to headline import growth in 1H26 (up from 2.1pp in 2025), accounting for around 40% of the 26.3pp acceleration in nominal import growth.
- **Non-energy commodities** added 6.0pp, up from 0.7pp.
- **Gold** contributed a further 7.3pp, vs 0.3pp in 2025.
- By contrast, **non-electronics machinery & transport equipment** remained weak, subtracting 0.2pp from growth, while other intermediate and final manufactures made only a modest 0.6pp contribution.
- **Energy imports** were broadly flat in 1H26 after slightly contracting in 2025, reducing their drag on headline growth, as China aggressively reduced import volume amid price surge.

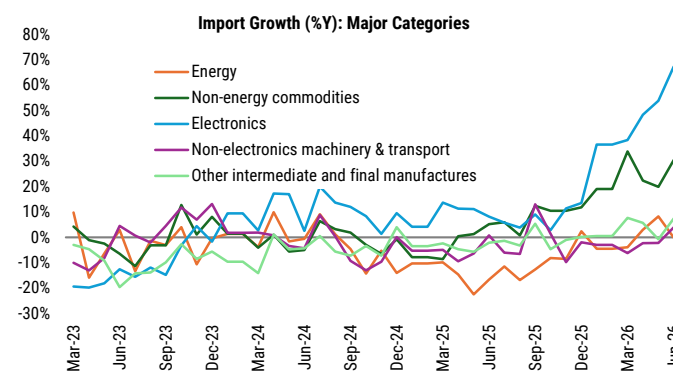
Price and volume growth both rose: Import volumes rose 8%Y in 1H26, implying that roughly 18pp of nominal import growth reflected higher prices amid stronger commodity prices and AI-hardware shortages.

Exhibit 3: Nominal import growth decomposition



Source: CEIC, Morgan Stanley Research

Exhibit 4: Growth of major import categories



Source: CEIC, Morgan Stanley Research

Drivers Going Forward

AI-related investment should remain the most durable support to China's exports, although growth is likely to moderate from the exceptionally strong 1H26 pace.

Electronics accounted for the bulk of the acceleration in nominal exports in 1H26, consistent with continued strength in the global AI capex cycle. Our [US tech team estimates](#) AI-related capex among hyperscalers to reach ~US\$877bn in 2026, rising above US\$1.3tn in 2027 – with YoY growth slowing from 90% in 2026 to 53% in 2027 as the comparison base gets higher. China's deep integration into the regional electronics supply chain also means that sustained global AI-related investment should continue to translate into strong exports of semiconductors, computers, and related equipment.

The broader Asian capex cycle should support a modest broadening of export strength into machinery, industrial materials, and other investment-related goods.

Our Asia economists [have been of the view](#) that Asia is entering a multi-year industrial and capex supercycle — the strongest since the mid-2000s — driven by four structural pillars: AI and AI-related infrastructure, energy, and energy transition, defense spending, and the onshoring of industrial supply chains. They think the cycle is durable for two key reasons: (1) the drivers are structural rather than cyclical (unlike the 2016–18 expansion); and (2) corporate balance sheets across the US, Europe, and Asia ex-China remain healthy with debt-to-GDP ratios trending down since Covid, meaning countercyclical rate hikes are unlikely to derail the expansion.

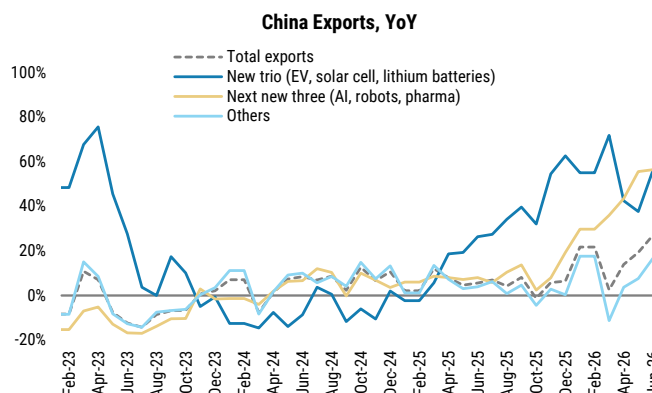
Continued evolution in China's supply chain: China's deep electronics and renewable energy supply chains are direct beneficiaries of the global AI and energy capex super-cycle, enabling the country to gain incremental export market share. The "new three" of green products (batteries, EV, solar) emerged as a main engine of China's exports from 2025. While its growth has remained elevated, the "Next new three" (AI, robots, pharma) has become a stronger driver since late 2025. We believe such [organic evolution and upgrading could continue, on the back of three structural advantages](#): (1) unmatched industrial scale and scope (covering all 666 UN industrial sub-categories); (2) a deeply integrated supply chain that continues to gain global market share even as geopolitical fragmentation accelerates; and (3) the world's largest STEM talent pool at 41% of global STEM graduates.

Exhibit 5: Global manufacturing cycle



Source: CEIC, Morgan Stanley Research

Exhibit 6: Export mix echoes continued industrial upgrade



Source: CEIC, Morgan Stanley Research

Updated 2026/27 Trade Forecasts

Trade strength to persist through 2H26: We now expect 2026 dollar-denominated export and import growth to reach 20% (vs. 5.4% in 2025) and 26% (vs. 0.2% in 2025), respectively. Within this, we see export volume growth reaching 10% (vs. 9.3% in 2025), while import volume growth rebounding to 8% (vs. 0.6% in 2025).

Expect normalization in 2027: We now expect 2027 dollar-denominated export and import growth to normalize to 11% and 9%, with underlying volume growth ticking down to 8% and 5%, respectively.

Risks to Our Forecasts

Upside risks. The main upside risk is a stronger-for-longer AI and regional capex cycle, as well as broader global investment boom, which would keep electronics exports/imports and related industrial demand stronger than assumed. A secondary upside risk is that trade and commodity prices remain elevated for longer, which would lift nominal trade growth.

Downside risks. The main downside risk is continued and even worsening geopolitical uncertainty, which could weigh on global industrial cycle with a severe energy input volume shock. Separately, because much of the recent nominal acceleration has been price-driven, faster normalization in AI-hardware export prices and a reversal in commodity and gold prices would lower nominal trade growth even if underlying volumes remain relatively resilient.

Growth and Policy Implications

Modest net export contribution, but spillovers more supportive than 2024-25: Given our trade forecasts, we estimate the contribution of net exports will likely tick up slightly in 2H26 to 0.9pp from 0.8pp in 1H26. In 2027, the contribution will remain broadly stable and average 0.8pp. This means, from an accounting (mechanical decomposition) perspective, the incremental growth boost from trade will likely be quite modest.

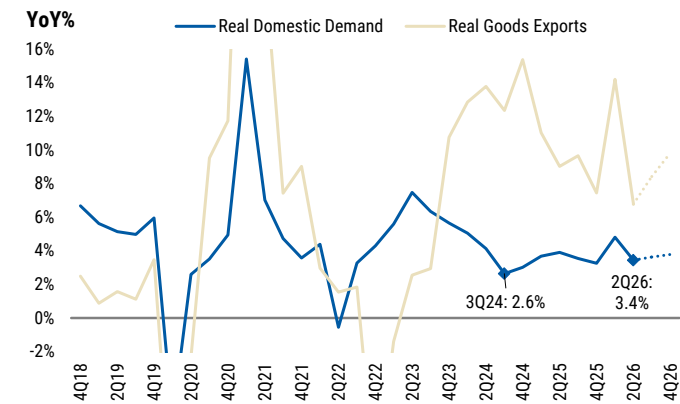
However, this likely understates the broader macro support from still-strong trade growth. Strong trade volumes and prices should generate modest spillovers to industrial production and investment. In addition, electronics-sector profits have strengthened alongside the AI-related trade upturn, providing some support to nominal GDP. While these spillovers remain relatively narrow, they still represent a visible improvement from much of 2024-25, when trade strength generated relatively limited profit and nominal-growth spillovers.

The robust trade backdrop reduces the urgency for a large new stimulus package, echoing Beijing's preference to accelerate deployment of existing fiscal resources.

With exports resilient, tax revenues improving, and domestic demand still somewhat firmer than in 3Q24, policymakers should first lean on the roughly RMB2trn of potential augmented fiscal impulse for 2H26, including faster government bond issuance and greater use of policy-based financial instruments. The policy mix should remain tilted toward infrastructure, in particular hard tech and energy-transition capex. That said, summer remains an important test of policy execution: If growth or domestic demand disappoints materially through August and September, the likelihood of additional easing in September-October would rise.

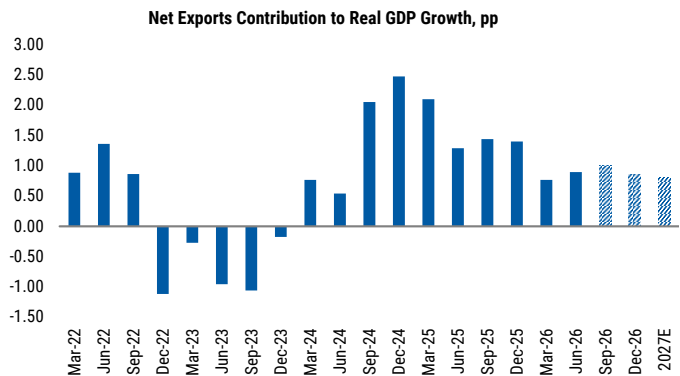
Trade resilience should help drive a modest sequential reacceleration in 2H26 growth, but it would not alter the underlying K-shaped nature of the recovery. We expect real GDP growth to strengthen from 3.6% QoQ SAAR in 2Q26 to 4.1% in 3Q26 and 5.5% in 4Q26, supported by faster fiscal rollout and stronger real goods exports amid the Asian capex cycle. This acceleration would lift the YoY headline growth from 4.3% in 2Q26 to 4.6% in 2H26. However, final consumption is likely to remain subdued at around 4%Y in 2H26 (3.6% in 2Q26), well below its pre-Covid trend, amid continued weakness in labor-intensive "old-economy" sectors.

Exhibit 7: China's two-speed economy



Source: CEIC, Morgan Stanley Research estimates

Exhibit 8: Net export contribution to move largely sideways from here



Source: CEIC, Morgan Stanley Research estimates

July Trade Data Details

July trade data were broadly in line with expectations. Export growth generally firmed up from 2Q (23.9%Y in July vs 20.2% in 2Q), while import growth also held up well (27.5% vs. 29.5% in 2Q).

Tech remained the key driver. Semiconductors and computers in total contributed 10.0pp to export growth and 17.9pp to import growth, up from 9.4pp and 17.4pp in June, respectively.

Exports of non-electronics capital goods also picked up. Notably, exports of general machines surged to 31.4%Y (vs 4.6% in 2Q). Echoing this, export growth to ASEAN accelerated to 38.4% (vs 24.6% in 2Q). Strong exports to tech-centric Korea and Taiwan reinforce the AI story, while the surge in general machinery and faster exports to ASEAN point to a broader regional capex cycle.

Elsewhere, consumer-oriented exports also improved. Our compilation of selected labor-intensive consumer goods, on the whole, rose 1%M in July after seasonal adjustment. Auto exports were flat MoM SA, while their YoY growth moderated to 60% from 69% in June from a higher base, but still stronger than 51% in 2Q26.

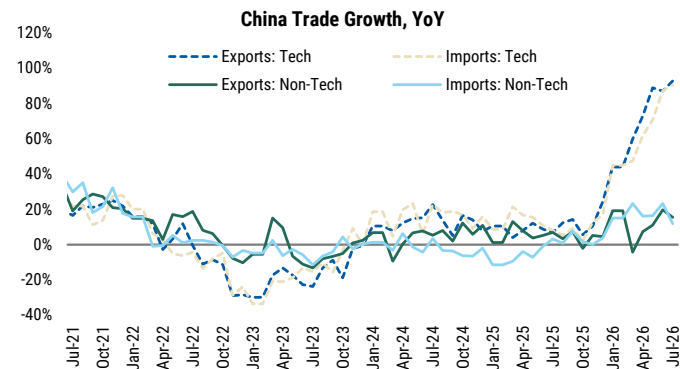
Commodities drove the import growth slowdown, led by copper (down 21.4pp to 23.6%Y) and soybeans (down 11.5pp to 7.3%Y). By contrast, coal import growth accelerated to 83.8%Y from 60.7% in June, likely reflecting tighter domestic supply amid widespread mine-safety inspections. Meanwhile, crude imports rebounded slightly (-4.6% vs -7.4%Y in June), as lower prices supported import volumes, consistent with some easing in global supply tightness.

Exhibit 9: Summary table

	Jul-26	Jun-26	May-26	Apr-26	2Q26	1Q26	2025
Trade Balance*, US\$ bn	112	126	105	85	315	261	1180
Exports, US\$ bn	398	412	376	359	1148	977	3770
YoY, %	23.9	27.0	19.3	14.0	20.2	14.7	5.4
By destination, YoY, %							
US	17.0	13.9	35.4	11.3	19.2	-16.4	-19.8
Japan	14.0	6.9	10.9	4.0	7.3	6.8	3.6
EU	16.0	18.5	7.6	13.4	13.1	21.0	8.5
ASEAN	38.4	34.5	24.3	15.2	24.6	20.2	13.4
Hong Kong	48.8	58.0	63.1	44.3	55.1	39.0	15.2
Korea	46.6	42.6	42.1	24.6	36.3	23.8	-1.4
Taiwan	25.1	43.7	32.2	26.9	34.2	31.1	11.1
Imports, US\$ bn	285	287	271	275	833	717	2590
YoY, %	27.5	36.0	27.4	25.2	29.5	23.4	0.2
By product, YoY, %							
Mechanical & Electrical Products	46.0	47.5	38.2	33.5	39.7	24.5	5.0
Unwrought Copper & Products	23.6	45.0	44.3	38.4	42.6	15.6	0.0
Steel Products	6.4	5.6	-9.6	1.3	-1.0	-9.0	-11.6
Plastics in Primary Forms	-18.3	-9.8	-22.2	-19.4	-17.4	-12.3	-9.3
Crude Petroleum Oil	-4.6	-7.4	15.3	13.2	7.0	-4.6	-8.7
Iron Ore & Concentrates	13.7	18.3	6.6	2.7	9.2	12.1	-8.6

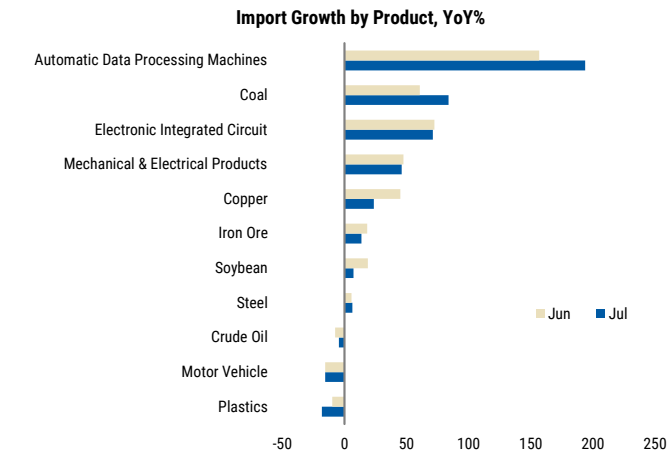
Source: CEIC, Morgan Stanley Research

Exhibit 10: Tech vs non-tech trades



Source: CEIC, Morgan Stanley Research

Exhibit 11: Import growth breakdown



Source: CEIC, Morgan Stanley Research

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